Earnings update · Integrated oil and gas

Galp Q3 2026: guidance raised, deal dropped, the sell-off goes too far

26 October 2026 · Syz Research

> **"While discussions with Moeve regarding a potential combination of our downstream businesses have concluded without an agreement, Galp's strategic direction and investment proposition remain unchanged."**
>
> Maria João Carioca and João Marques da Silva, co-CEOs, Q3 2026 results release, 26 October 2026

Key takeaways

Beat RCA EBITDA of EUR 1,522m rose 67% and came in 3.5% above consensus, led by Bacalhau and refining.

Raised Full-year EBITDA guidance lifted to c.EUR 5bn from c.EUR 4bn, operating cash flow to c.EUR 3.9bn.

Watch Moeve downstream talks ended without a deal, removing c.EUR 1.1 per share of expected synergy value.

Valuation The 8.8% results-day fall leaves 8.4x forward earnings, 27% below the 2022 to 2026 average.

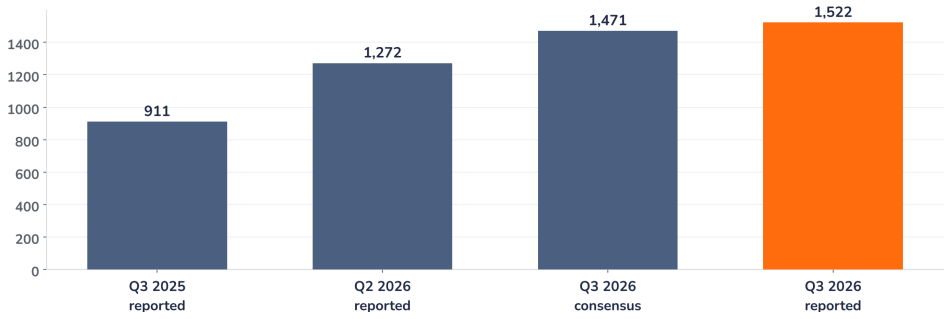
RCA EBITDA	RCA net income	FY26 EBITDA guide	Net debt
EUR 1,522m	**EUR 682m**	**c.EUR 5.0bn**	**EUR 1.43bn**
+3.5% vs. consensus	+68% year on year	+25% vs. prior guide	0.35x EBITDA

The debate moves from earnings to Brazil risk

Operationally, this was one of Galp's strongest quarters: the Bacalhau field lifted production 14% and a refining margin of USD 34 per barrel, triple last year's, drove a 25% guidance upgrade. The market looked past it. The shares fell 8.8% on results day as the end of the Moeve talks removed a catalyst and Brazil's election-year fiscal noise raised the risk premium on its offshore assets. We think the price now discounts more than the lost deal.

Chart 1 · GALP: Q3 2026 RCA EBITDA vs. consensus and history

EUR m · replacement cost adjusted (RCA) EBITDA, which strips out inventory gains and one-offs · consensus: pre-results analyst estimates



RCA EBITDA rose 67% year on year and 20% on the previous quarter to EUR 1,522m, 3.5% ahead of consensus. Upstream contributed EUR 708m and Industrial & Midstream EUR 639m, double last year despite EUR 172m of refining hedge losses. Commercial grew 24% and Renewables tripled to EUR 48m. The beat came from volumes and margins, not one-offs.

Base case and implications

We stay positive on Galp and would use the results-day weakness to add, sized for Brazil political risk. We underwrite the new 2026 guidance of c.EUR 5bn EBITDA and c.EUR 3.9bn operating cash flow, with net debt at 0.35x EBITDA funding a proposed 10% dividend increase to EUR 0.70 and the EUR 250m buyback. The debate is now how much of those earnings Brazil keeps. The 8.8% drop, about EUR 2.0 per share, already exceeds the c.EUR 1.1 of deal value the market had assigned. The next test is Brazil's post-election stance on the oil export tax.

What would strengthen our view

Brazil lets the temporary oil export tax lapse after the run-off; Bacalhau holds about 160,000 barrels a day gross through the fourth quarter; Q4 EBITDA beats the c.EUR 1.26bn implied by guidance; a larger 2027 buyback at full-year results.

What would change our view

The export tax becomes permanent or is raised above 12%, or royalties are reopened under a resource-nationalism agenda; refining margins fall back towards the USD 13 per barrel of the original guidance; capital is redirected into a large, dilutive acquisition after Moeve.

Beyond the key takeaways

Results: Bacalhau and refining did the work

Upstream RCA EBITDA rose 53% to EUR 708m. Working-interest production averaged 131 kboe/d, up 14%, as the Bacalhau FPSO ramped up with four producer wells connected, reaching about 160 kboe/d gross in September and more than offsetting planned turnarounds. Oil realisations rose 32% to USD 87.3/bbl, although the discount to Brent widened to USD 9.7/bbl on freight and softer Asian demand for Brazilian crude. Industrial & Midstream EBITDA doubled to EUR 639m: the refining margin reached USD 34.0/boe against USD 9.5/boe a year ago, on diesel cracks of USD 590/t, with Sines running close to full availability. Margin hedges cost EUR 172m and supply pricing-formula lags a further EUR 125m.

Commercial EBITDA rose 24% to EUR 147m on B2B sales in Spain; Renewables tripled to EUR 48m on newly acquired wind assets. RCA net income of EUR 682m, about EUR 0.94 per share on our count, rose 68% despite RCA taxes up 79% to EUR 493m, which include Brazil's temporary oil export tax. IFRS net income was EUR 201m after EUR 453m of special items, mostly derivative mark-to-market. Operating cash flow of EUR 1,223m (+63%) covered EUR 646m of capex, including EUR 420m for Spanish wind, and the EUR 253m interim dividend, leaving net debt at EUR 1.43bn.

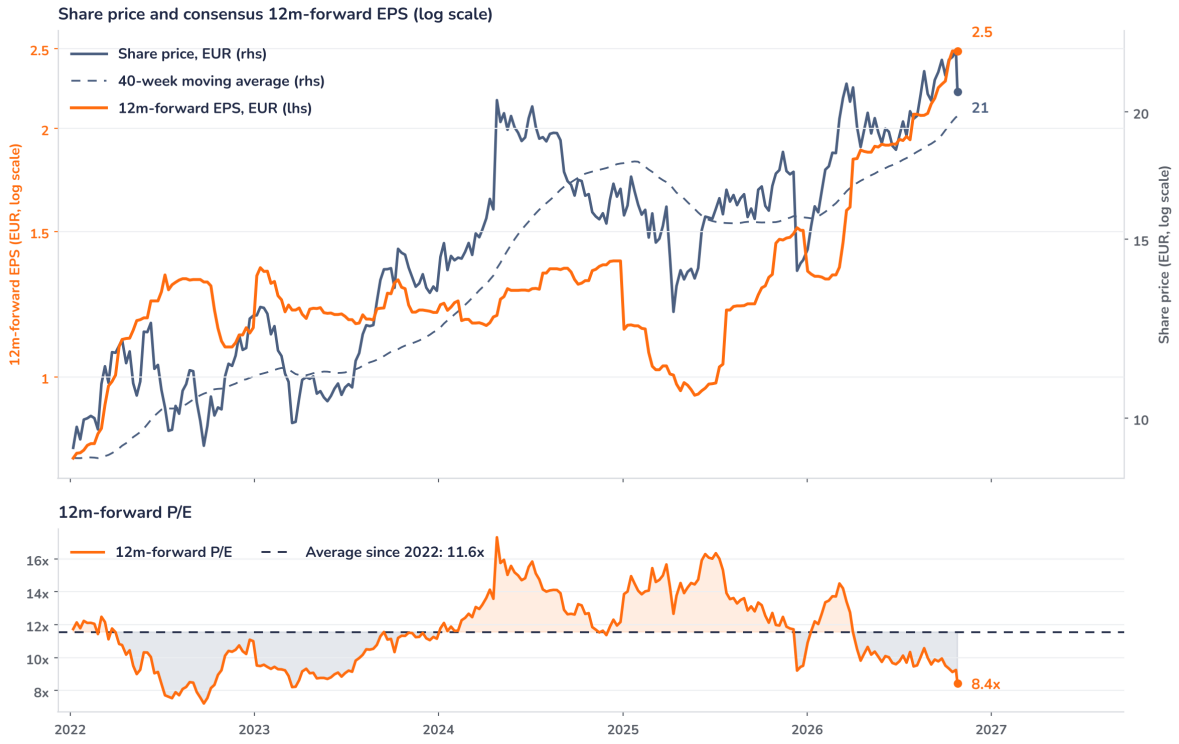
Outlook: the upgrade leans on the macro deck

Management raised 2026 RCA EBITDA guidance to c.EUR 5bn from c.EUR 4bn and operating cash flow to c.EUR 3.9bn from c.EUR 3bn, on Brent at USD 90/bbl (from 80) and a realised refining margin of c.USD 25/boe (from 13). The guide implies Q4 EBITDA of about EUR 1.26bn and, on our arithmetic, a Q4 Brent near USD 78/bbl against USD 97 in Q3. The risk sits in Brazil: the temporary 12% crude export tax costs up to EUR 100m, and the polarised run-off widened the risk premium on pre-salt assets, which in our view complicated valuation talks with Moeve's shareholders.

Valuation: earnings ran ahead of the price

Chart 2 · GALP: share price vs. consensus earnings and valuation

GALP PL Equity, weekly from January 2022 (the 2020 earnings collapse lifted the P/E above 130x) · BEst 12m-forward consensus · 200-day (c. 40-week) simple MA · log scale · P/E shaded vs. its 2022 to 2026 average · last price is the 26 October results-day print; consensus EPS not yet revised



Earnings have run well ahead of the share price. Over 12 months, consensus 12m-forward EPS rose 87% to EUR 2.48 while the price gained 24%, so the forward P/E fell from 12.7x to 8.4x, 27% below its 11.6x average since 2022 and under the 10.9x one-year average; results day alone took it down from 9.2x. The price is 10% below its September high of EUR 23.18 but still 6% above its 40-week average. Even if consensus EPS were cut 10% for the export tax, the stock would trade on 9.4x, 19% below its 2022 to 2026 average.

SYZ Source: Syz Research, Bloomberg, company filings, Galp Q3 2026 results release of 26 October 2026, analyst research notes of 23 October 2026

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